

US tariffs shift Asian exports

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Frontloading effects as US companies stockpiled goods in April and May prior to tariffs have resulted in strong headline exports from Asia. That said, we are seeing early signs of a payback effect with exports now moderating due to higher inventories (see Exhibits 1 and 2). And exports to the United States are expected to continue to slow over the coming months.

Exhibit 1: Asia Exports

US\$ Billion, Sum of Singapore, South Korea and Taiwan

Sources: Macrobond, South Korea Ministry of Trade, Industry and Energy (MOTIE), SingStat, Taiwan Ministry of Finance. As of May 31, 2025. Past performance is not an indicator or a guarantee of future results.

Exhibit 2: US Inventories: Manufacturers and Merchant Wholesalers

US\$ Billion, Seasonally Adjusted

Source: Macrobond. As of April 30, 2025. Past performance is not an indicator or a guarantee of future results.

New export orders across Asia continue to contract amid persistent tariff uncertainty. North Asia, which sits at the higher end of the value chain, faced a sharper dropoff in growth compared to the Association of Southeast Asian Nations (ASEAN), which includes Brunei, Cambodia, Indonesia, Laos, Malaysia, Myanmar, Philippines, Singapore, Thailand and Vietnam. However, this divergence may prove temporary. The interlinked nature of regional supply chains suggests ASEAN could soon experience the same drag. India remains the exception, with Purchasing Managers' Index (PMI) data showing continued expansion thanks to the country's rising prominence as an alternative source for goods traditionally supplied by China (see Exhibit 3).

Exhibit 3: PMI New Export Orders

Anything Under Zero Is Contraction, Seasonally Adjusted

Source: Macrobond, S&P Global. As of June 2025. Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges. Past performance is not an indicator or a guarantee of future results.

Chinese exports to the world are at highs despite falling exports from China direct to the United States. Chinese firms have rerouted goods into ASEAN markets, feeding oversupply, intensifying deflationary pressures, and squeezing domestic producers (see Exhibit 4). They also have made use of the lower tariffs faced by ASEAN countries by transshipping their goods and circumventing US duties. This evasion raises the risk of future clampdowns by the United States. Increased imports from China have also had the effect of cannibalizing domestic markets, resulting in slower local manufacturing growth and disinflation, which will impact gross domestic product growth.

Exhibit 4: China Exports to United States vs. Total Exports

Rebased to 100 in January 2024, One-Year Moving Average

Sources: Macrobond. As of May 31, 2025. Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges. Past performance is not an indicator or a guarantee of future results.

Within Asian countries, sectoral tariff effects are uneven. South Korea has been hit by auto tariffs while Taiwan's semiconductor exports to the United States have held up due to delays in electronics tariffs. Meanwhile, Vietnam and other ASEAN economies have reported strong headline export growth, largely due to the transshipped Chinese goods (see Exhibit 5).

Exhibit 5: Export Growth (%) to the United States

Source: Macrobond, Vietnamese General Statistics Office, General Department of Customs, Taiwan Ministry of Finance. As of June 2025.

There is some near-term reprieve as trade talks progress. However, longer-term uncertainty remains, which will continue to weigh on export-reliant Asian economies.

Index Definition

The Purchasing Managers' Index (PMI) is an economic indicator of the prevailing direction of a country's economic trends in the manufacturing and service sectors. It is a diffusion index that summarizes whether market conditions are expanding, staying the same, or contracting by surveying senior purchasing executives at private sector companies.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Please note that an investor cannot invest directly in an index. Unmanaged index returns do not reflect any fees, expenses or sales charges. Past performance is no guarantee of future results.

Fixed-income securities involve interest rate, credit, inflation and reinvestment risks; and possible loss of principal. As interest rates rise, the value of fixed income securities falls.

US Treasuries are direct debt obligations issued and backed by the "full faith and credit" of the US government. The US government guarantees the principal and interest payments on US Treasuries when the securities are held to maturity. Unlike US Treasuries, debt securities issued by the federal agencies and instrumentalities and related investments may or may not be backed by the full faith and credit of the US government. Even when the US government guarantees principal and interest payments on securities, this guarantee does not apply to losses resulting from declines in the market value of these securities.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. Investments in companies in a specific country or region may experience greater volatility than those that are more broadly diversified geographically.

The government's participation in the economy is still high and, therefore, investments in China will be subject to larger regulatory risk levels compared to many other countries.

There are special risks associated with investments in China, Hong Kong and Taiwan, including less liquidity, expropriation, confiscatory taxation, international trade tensions, nationalization, and exchange control regulations and rapid inflation, all of which can negatively impact the fund. Investments in Taiwan could be adversely affected by its political and economic relationship with China.

WF: 5930886

CONTRIBUTORS

Li Ting Chan

Research Analyst

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